Investment Snapshot & Judgment

Valuation reference: October 27, 2026 | FY2026 actuals; FY2027–2036 modeled | USD unless noted

INVESTMENT CONCLUSION **Constructive franchise; valuation cautious; intentionally unrated.** Microsoft's software distribution and cloud scale create credible AI monetization channels, but capital-intensive economics remain uncertain. The **reconciled base-case DCF is $403.26/share**, or **24.1% below** the $531.33 October 27 reference price; even the bull DCF is below that price. No formal rating is assigned by design; the valuation and lease-accounting reconciliations are complete.

VALUATION AT A GLANCE | THREE RECONCILED SCENARIOS

DCF scenario	Bear	Base	Bull
Intrinsic value/share	$300.22	**$403.26**	$500.32
Upside/(downside) to $531.33	–43.5%	**–24.1%**	–5.8%

Base inputs: WACC 9.05%; perpetual growth 2.5%; terminal incremental ROIC 15%; terminal value 69.7% of enterprise value. Scenario calculations reconcile; the October 27 reference price is not a live quote.

FOUR-POINT INVESTMENT THESIS

01 Commercialization advantage.
Microsoft 365, Azure and enterprise relationships support adoption and cross-selling. FY2026 Azure/cloud growth was 41%, but this is not AI-only revenue or proof of AI returns.

02 Infrastructure profitability test.
Intelligent Cloud gross margin fell from 66.1% (FY2024) to 58.0% (FY2026). Utilization, realized pricing and replacement spending must offset the pressure of new capacity.

03 Near-term Street sales are not the dispute.
FY2027/FY2028 base revenue of $390.03/$460.29bn is just 0.4%/1.8% below published $391.44/$468.68bn consensus. No comparable EPS disagreement is asserted.

04 Valuation requires durable capital returns.
The $531.33 price exceeds even the bull-case value. A one-variable reverse DCF requires about 68% FY2036 operating margin versus 46.8% in the base fade; this is *not* published analyst consensus.

FINANCIAL SNAPSHOT | CASH GENERATION VERSUS REINVESTMENT

Selected metric	FY2026 actual	FY2031 base forecast
Revenue	$331.8bn	$702.0bn
Operating margin	46.8%	48.1%
Cash additions to PP&E	$115.9bn	$200.0bn
Cash additions to PP&E / revenue	34.9%	28.5%
Cash FCF = CFO − cash additions to PP&E	$67.0bn	$223.4bn
Cash FCF / revenue	20.2%	31.8%

Cash FCF excludes noncash finance-lease asset additions at inception; it is *not* the DCF's economic unlevered FCF. FY2031 base economic UFCF is $181.4bn and includes cash plus lease-financed capital investment within the unlevered framework. Forecast values are model outputs, not demonstrated AI-specific returns.

THE INVESTMENT QUESTION & WHAT WOULD CHANGE THE VIEW

Can Microsoft's AI investment earn sufficient returns to justify current capital intensity? **Plausibly, but not yet demonstrated.** The **strongest challenge** to the valuation-cautious stance would be **sustained improvement in cash generation relative to cash *plus leased* infrastructure investment** as new Azure capacity comes online. Paid cloud monetization and stabilized margins would support its durability. Continued margin erosion, weak pricing or higher replacement needs would instead reinforce caution. Disclosed segment economics and consolidated capital productivity are *proxies*, not AI-specific incremental ROIC.

Evidence and limitations. Microsoft FY2026 Form 10-K; company and industry research; documented forecast assumptions; reconciled financial model and valuation calculations. FY2027/28 published revenue consensus: pre-FY27 Q1 Yahoo Finance snapshot (51/52 analysts), with source detail in the investment-debate section. **Model scope:** DCF scenarios and finance-lease classification reconcile. **Economic uncertainties:** future AI-specific demand, replacement needs, full-life utilization and sustainable 15% terminal incremental ROIC. Independent analyst research; not investment advice.

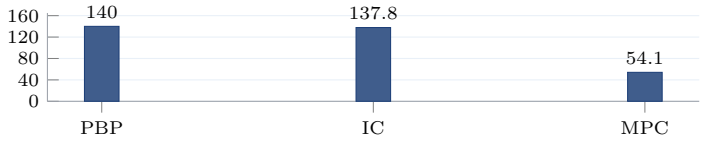
Business & Industry Analysis

A powerful distribution engine meets capital-intensive AI economics | FY2026 actuals

Business model | An embedded software franchise helps distribute cloud and AI

Microsoft combines subscription software, consumption-based cloud infrastructure and consumer products. Productivity and Business Processes (PBP) monetizes Microsoft 365, Dynamics and LinkedIn through enterprise relationships, user adoption and pricing. Intelligent Cloud (IC), including Azure, depends more directly on customer workloads, available compute capacity and utilization. More Personal Computing (MPC) encompasses Windows, devices, gaming and search advertising. Integration across Microsoft 365, Azure, security, GitHub and AI tools may lower customer acquisition friction and increase switching costs; these are *competitive advantages*, not proof of AI investment returns.[1]

Segment economics | Growth is shifting toward the more infrastructure-intensive engine



FY2026 revenue ($bn). PBP = Productivity & Business Processes; IC = Intelligent Cloud; MPC = More Personal Computing.

FY2026 segment economics

	Revenue share	Op. margin
PBP	42.2%	59.9%
IC	41.5%	41.3%
MPC	16.3%	26.6%

IC revenue grew 29.7% in FY2026, versus 41% for *Azure and other cloud services*. These are distinct measures; neither represents AI-only revenue.[2]

Operating profit contribution (FY2026): PBP $83.9bn (54.0% of total); IC $57.0bn (36.7%); MPC $14.4bn (9.3%). Despite similar revenue shares, PBP generates substantially more operating income than IC.

IC's gross margin fell from 66.1% in FY2024 to 58.0% in FY2026, compared with approximately 82% in PBP. Management links IC's pressure to AI infrastructure and a greater Azure mix; slower operating-expense growth partly offset the decline. IC's gross-margin compression, alongside its rapid growth and disclosed infrastructure expansion, supports a *segment-level cost-pressure* argument, not a precise allocation of AI spending. Segment margins reflect cost allocations; segment invested capital and AI-only CapEx are undisclosed, so neither segment ROIC nor infrastructure-specific incremental returns can be inferred.[2]

Cloud and AI investment | Capacity creates revenue opportunity and a replacement obligation

The demand evidence is material: Azure and other cloud services grew 41% in FY2026; management said demand exceeded available capacity and newly delivered Azure capacity was monetized quickly. Commercial remaining performance obligations totaled $678bn, although the measure includes OpenAI-related arrangements and is not equivalent to near-term revenue. Capacity scarcity and rapid initial monetization indicate near-term demand, *not* utilization or pricing sustained across the asset life. Evidence of durability would be continued Azure growth after capacity additions, resilient IC gross margin, RPO conversion into revenue and improving cash generation relative to deployed capital. Microsoft does not disclose AI-only CapEx, revenue, realized compute pricing, utilization by asset vintage or AI-only profit.[3]

The cost of meeting demand is equally important. Servers, networking equipment and software accounted for roughly 62% of the FY2026 increase in gross PP&E; server and network equipment have accounting lives of two to six years. Cash additions to PP&E were $115.9bn, while finance-lease additions and substantial future datacenter commitments indicate investment exposure beyond current-period cash CapEx. Not-yet-commenced leases of $329.1bn are future commitments, not current cash CapEx.[3]

Competitive debate | Distribution strength does not eliminate return risk

Microsoft's enterprise relationships, software ecosystem and infrastructure scale support cross-selling and workload adoption. But AWS, Google Cloud and other infrastructure and AI providers compete for workloads and pricing; hardware costs, power availability, model efficiency and compute-price declines can weaken unit economics. Available disclosures do not quantify competitors' relative costs or Microsoft's AI-specific utilization, price per unit, or incremental profit. An observable falsification test is sustained IC margin deterioration or slowing cloud monetization despite capacity additions. Without disclosed utilization and price per unit, durable AI unit economics cannot be independently tested; strong demand alone leaves *new-capital productivity* unresolved.[4]

Investment implication. The existing software franchise can help Microsoft commercialize AI, but incremental returns depend on the chain *capacity* → *utilization* × *realized pricing* → *gross profit* → *cash flow*, measured against asset lives and replacement investment. This is consistent with the historical evidence of rising capital intensity and pressured cash conversion; it does not yet establish whether AI investment clears the cost-of-capital hurdle.

Source notes. [1] Company analysis and FY2026 Microsoft Form 10-K, business and segment disclosures. [2] Segment analysis; FY2026 10-K pp. 38–39, 83–85. [3] Infrastructure and capacity analysis; FY2026 10-K pp. 52–53, 69, 77–78 and Q4 FY2026 earnings call. [4] Industry competition research and author-developed driver framework. Competitive discussion is qualitative; no independently quantified competitor cost benchmark is asserted. Figures rounded; totals may differ due to rounding.

Historical Financials & Forecasts

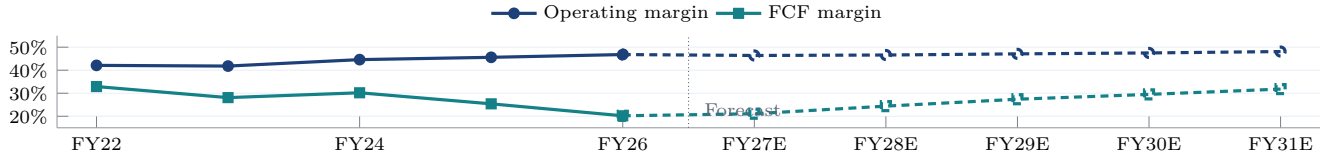
Stronger earnings, rising capital demands | FY2026 actuals; FY2027–2031 forecast

Historical performance | Earnings growth has not translated proportionately into free cash flow

Between FY2022 and FY2026, Microsoft's revenue rose from $198.3bn to $331.8bn, while operating margin expanded from 42.1% to 46.8%. Yet cash additions to property and equipment increased from $23.9bn to $115.9bn, equivalent to 12.0% and 34.9% of revenue, respectively. Operating cash flow reached $182.9bn in FY2026, but free cash flow (FCF) declined from its FY2024 peak of $74.1bn to $67.0bn in FY2026. FCF margin fell from 32.9% in FY2022 to 20.2% in FY2026. Thus, improving earnings profitability has coincided with greater cash reinvestment requirements.

The pressure is also visible in capital returns: consolidated ROIC declined from 56.5% in FY2023 to 35.9% in FY2026, and exceeded the **9.05%** WACC calculated with October 27, 2026 market inputs. The ROIC/WACC comparison uses different observation dates and is illustrative, not a contemporaneous return spread; consolidated ROIC does *not* identify AI-specific investment returns.

Historical and projected margins | The model anticipates a cash-flow inflection



Solid lines: historical actuals. Dashed lines: base-case financial forecasts. FCF = operating cash flow less cash additions to PP&E. Historical values are drawn from Microsoft filings and the author's ratio analysis; forecasts are the author's estimates.

Base-case outlook | Monetization must grow faster than reinvestment

USD bn, except margins	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	331.8	390.0	460.3	536.5	618.2	702.0
Operating margin	46.8%	46.4%	46.6%	47.1%	47.5%	48.1%
Cash additions to PP&E	115.9	140.0	155.0	170.0	185.0	200.0
Free cash flow	67.0	82.1	112.2	147.1	182.3	223.4
FCF margin	20.2%	21.1%	24.4%	27.4%	29.5%	31.8%

The base-case model projects revenue reaching $702.0bn by FY2031 (16.2% five-year CAGR), led by Intelligent Cloud growth that moderates from 32% in FY2027 to 18% in FY2031. The base case assumes an initial operating-margin decline to 46.4%, followed by recovery to 48.1% as expense growth trails revenue. Cash CapEx rises to $200bn by FY2031, but falls to 28.5% of revenue as projected sales grow faster than spending. FCF reaches $223.4bn (31.8% margin). This is a *model outcome*, not independent evidence of utilization, AI-specific returns, or replacement economics.

FCF bridge | Earnings and noncash add-backs both matter

USD bn	FY26A	FY31E	Change
Net income	133.7	274.0	+140.3
D&A and other[1]	38.5	110.6	+72.1
Stock-based compensation	12.4	23.2	+10.8
Other CFO items, net[2]	-1.7	15.6	+17.3
Operating cash flow	**182.9**	**423.4**	**+240.5**
Cash additions to PP&E	(115.9)	(200.0)	(84.1)
Cash FCF	**67.0**	**223.4**	**+156.4**

Economic reading. Net income contributes most of the CFO increase, but higher noncash D&A/other add-backs also contribute materially. These add-backs *do not* demonstrate higher infrastructure returns: replacement and lease-financed investment may absorb future cash. The model assumes working-capital and other CFO items become a net tailwind; that assumption requires monitoring.

Capital productivity and consensus discipline

Consolidated EBIT / net PP&E falls from **49.6% (FY26A)** to **40.3% (FY31E)** in the integrated model. This is a rough *capital-intensity indicator*, not ROIC: it excludes non-PP&E invested capital and is affected by depreciation and asset mix. It cautions against equating forecast FCF recovery with improved returns on newly installed AI assets.

Consensus comparability. Dated FY2027–FY2028 revenue consensus is documented on Page 4. A direct consensus EPS comparison remains omitted because the model uses ending diluted shares rather than verified weighted-average diluted EPS.

Investment implication

Strong consolidated earnings and above-WACC historical ROIC do not establish that new AI infrastructure earns adequate returns. Base-case FCF recovery depends on cloud monetization outpacing the full economic cost of capacity, including replacement investment.

Sources and definitions: Microsoft FY2026 Form 10-K; the author's historical financial analysis, forecast model and WACC worksheet (27-Oct-2026 market inputs: 5.00% risk-free rate, 3.70% ERP, beta 1.13). [1]Historical D&A/other is a reported cash-flow category; forecast combines modeled PP&E depreciation and other adjustments, not a pure depreciation series. [2]Residual of CFO less net income, D&A/other and stock-based compensation; includes deferred taxes, working capital, operating leases and other cash-flow effects. Cash FCF = CFO less cash additions to PP&E; it excludes noncash finance-lease additions at inception. Economic UFCF reflects finance-lease asset additions when incurred; lease principal is a financing cash flow. Future replacement and reinvestment costs remain uncertain.

Investment Debate

Consensus growth; unproven long-run capital returns | Reference: October 27, 2026

Core judgment. The debate is not whether Azure and Microsoft 365 can distribute AI. It is whether incremental earnings and cash flows will be sufficient to repay, replace and earn a return on the infrastructure being installed. Cloud growth is observable; future AI-specific demand, utilization and investment returns are not separately disclosed.

What does the market have wrong? | A testable differentiated thesis

Published consensus. Before the October 28 FY2027 first-quarter release, Yahoo Finance reported FY2027 and FY2028 revenue estimates of $391.44bn and $468.68bn (51 and 52 analysts). The corresponding base-case estimates are $390.03bn and $460.29bn, only 0.4% and 1.8% lower. This is not a large near-term sales disagreement. Published EPS estimates are not directly compared because the model uses ending diluted shares; EPS comparability was not established.

Differentiated judgment. Microsoft has credible AI monetization routes through Azure, Microsoft 365 and enterprise distribution. The differentiated concern is whether the market valuation is supported by durable returns after capital replacement. The $531.33 October 27 reference price exceeds the $403.26 base-case DCF. Holding other assumptions fixed, the reverse DCF requires approximately 68% FY2036 operating margin versus the model's 46.8% fade outcome. That is a conditional price-implied hurdle, not published Street consensus or a literal forecast of investors' beliefs.

Evidence and interpretation. Azure and other cloud services grew 41% in FY2026 and management described near-term capacity constraints. But Intelligent Cloud gross margin fell from 66.1% in FY2024 to 58.0% in FY2026 as infrastructure spending expanded. FY2026 cash CapEx reached $115.9bn, or 34.9% of revenue. Demand at deployment therefore does not establish realized pricing, full-life utilization or AI-specific incremental ROIC. The central risk is that compute supply and equipment replacement absorb more cash than successful adoption implies.

Earnings and valuation consequence. For FY2031, bear/base/bull scenarios yield EBIT of $273bn, $338bn and $392bn; NOPAT of $218bn, $270bn and $314bn; and economic UFCF of $113bn, $181bn and $235bn. The resulting DCF values are $300/$403/$500 per share, respectively, all below the October 27 reference price. These outcomes vary together with revenue, margin, reinvestment and terminal incremental ROIC; they do not isolate one causal variable. Absent sustained cash conversion and stronger capital productivity, the investment stance remains constructive on the franchise but valuation cautious.

FY2031 scenario transmission | Reconciled model; USD bn except per share

Case	Revenue	EBIT	NOPAT	Economic UFCF	DCF/share	Vs. $531.33
Bear	613.1	272.8	218.3	112.8	$300.22	–43.5%
Base	702.0	337.7	270.1	181.4	$403.26	–24.1%
Bull	790.3	392.0	313.6	235.4	$500.32	–5.8%

Economic UFCF deducts both cash PP&E and modeled finance-lease asset additions, unlike reported cash FCF. Scenario valuations also reflect respective FY2027–31 drivers and terminal incremental ROIC (12%/15%/18%); differences are not margin-only sensitivities.

How the thesis can be falsified | Monitor subsequent quarterly reports

Indicator	Evidence supporting durable economics	Evidence against durable economics
Monetization	Azure expansion sustains after capacity increases, with stabilization of Intelligent Cloud gross margin.	Growth decelerates or margins keep falling as more supply enters service.
Cash conversion	CFO improves alongside EBIT while *cash plus leased* investment grows more slowly than cash generation.	FCF rises mainly because cash CapEx is postponed while new lease obligations or replacement needs rise.
Capital returns	Approximate ΔNOPAT/ΔIC improves over consecutive fiscal years using a consistent invested-capital definition.	Invested capital expands faster than NOPAT over matched periods; this proxy is not AI-only ROIC.

Investment conclusion. The business remains strategically advantaged, but reconciled bear, base and bull DCF estimates are all below the dated reference price. The long-run capital-recovery hurdle, rather than a major FY2027–28 sales disagreement, supports the valuation-cautious, unrated assessment.

Sources / definitions. Microsoft FY2026 Form 10-K; annual incremental-return proxy = ΔNOPAT/ΔIC using matched fiscal years, distinct from NOPAT / average IC; independent competitive/infrastructure research; documented operating forecasts; reconciled three-statement model and DCF scenarios. Street revenues: Yahoo Finance MSFT Analysis (FY2027/28, 51/52 revenue analysts; viewed October 28, 2026; pre-FY27 Q1 reporting figures), cross-checked against Kaplio consensus dated October 25, 2026. Published consensus is *not* the reverse DCF, and the reverse-DCF margin holds other variables fixed. All company data and FY2031 scenario results are distinguished from analyst interpretation.

Valuation | Strong Franchise, Demanding Price

Reference: October 27, 2026 | FY2026 actuals; FY2027–2036 modeled | USD unless specified

Investment judgment. Microsoft's distribution and cloud scale support AI monetization, but its investment burden matters for shareholder value. Reconciled base-case DCF: **$403.26/share, 24.1% below** the $531.33 dated market reference. Bear and bull DCFs also remain below that reference. **Valuation cautious; no formal rating.**

DCF | THREE RECONCILED OPERATING SCENARIOS

Case	FY31 revenue $bn	FY31 EBIT margin	FY31 econ. UFCF $bn	Value/share	vs. price
Bear	613.1	44.5%	112.8	$300.22	–43.5%
Base	702.0	48.1%	181.4	**$403.26**	**–24.1%**
Bull	790.3	49.6%	235.4	$500.32	–5.8%

Scenarios recalculated using the October 27, 2026 WACC of 9.0536%. FY2031 economic UFCF deducts cash PP&E plus finance-lease asset additions.

BASE-CASE VALUATION FRAMEWORK

DCF input / bridge	Base
WACC / terminal growth	9.05% / 2.50%
Terminal incremental ROIC	15.0%
Explicit forecast / fade	FY27–31 / FY32–36
Enterprise / equity value	$3,008.7bn / $2,994.5bn
Opening net equity bridge	–$14.3bn
FY2026 diluted shares	7,425.6m
Terminal value / enterprise value	**69.7%**

Long-run capital hurdle. At 2.5% growth and 15% incremental ROIC, normalized net reinvestment is 16.7% of NOPAT. The arithmetic is reconciled; the economics depend on maintenance and replacement investment broadly offsetting depreciation. Durable asset utilization, pricing, and AI-specific returns are *not* disclosed. A shorter hardware life or faster replacement cycle would weaken this terminal assumption.

VALUATION METHODS | PEER-MULTIPLE CROSS-CHECK

Method	Input	Value/share	Assessment
Economic-investment DCF (Base)	9.05% WACC	**$403.26**	Primary; explicitly charges for leased and cash capital investment
Historical peer P/E	28.13×	**$506.61**	Indicative; FY25/FY26 GAAP earnings, dated peer caps
Cash FCF yield	1.89%	—	Diagnostic only; not a price target

The indicative FCF yield is based on a historical, after-interest cash-flow definition. EV/FCF excluded: enterprise numerator vs. after-interest FCF. EV/EBITDA excluded because uniform peer D&A normalization is unavailable (reported cash-flow add-backs combine D&A with other items). Peer P/E uses refreshed FY earnings and approximate 27-Oct-2026 market caps; see separate valuation-method documentation.

WHAT PRICE AND SENSITIVITY REQUIRE

Reverse DCF. Holding other model inputs fixed, matching $531.33 requires approximately **68.0% FY2036 EBIT margin**, versus 46.8% in the fade. This is a *single-variable hurdle*, not a literal market forecast.

Sensitivity: WACC vs. terminal ROIC

	12% ROIC	15% ROIC	18% ROIC
8.55% WACC	427.41	443.37	454.01
9.05% WACC	389.15	**403.26**	412.67
9.55% WACC	356.50	369.06	377.43

What would change the case? A move toward Bull needs sustained paid Azure monetization *after* new capacity comes online, stabilization of Intelligent Cloud gross margin, and faster cash generation relative to *cash plus leased* investment. Bear risks include weaker realized pricing, underutilization, declining capital turnover and accelerated server replacement. These are operating proxies, *not* evidence of AI-only ROIC. WACC changes reflect capital-market risk separately.

Sources/method: Microsoft FY2026 Form 10-K; reconciled DCF; peer FY2025/26 Form 10-Ks and October 27 dated market capitalizations. P/E uses GAAP income; methods unweighted. Opening lease debt deducted once; terminal replacement uncertain. Additional methodology is documented separately.

Catalysts, Risks & Model Notes

Valuation reference: October 27, 2026 | FY2026 actuals; FY2027–2036 modeled | USD unless specified

Closing judgment | Constructive business; valuation cautious (unrated). AI commercialization is plausible, but unreported AI-specific utilization, pricing and replacement economics limit confidence in new-capital returns. Reconciled DCF values: **bear $300.22 / base $403.26 / bull $500.32 per share**, each below the $531.33 October 27 reference.

CATALYST CALENDAR | WHAT CAN CHANGE THE ASSESSMENT

Event / horizon	Disclosed evidence to examine	Valuation transmission
FY27 Q1 Oct. 28, 2026	Azure growth, new segment revenue/profit and guidance; CFO and investment disclosures where available	First post-reference earnings test of cloud monetization, operating margin and FY27 investment drivers.
FY27 Q2–Q3 Subsequent reports	Continued Azure growth after capacity arrives; comparable/recast cloud profitability; CFO, cash PP&E and finance leases	Sustained margins plus cash conversion support Base/Bull; spending outpacing profits supports Bear.
FY27 10-K After June 2027	Full-year PP&E additions, useful lives, depreciation, cash flows, lease obligations and capital commitments	Tests capital turnover, replacement burden, economic UFCF and the long-run reinvestment assumption.

FY27 Q1 results were published after the *Oct. 27* valuation reference and are not reflected in the dated valuation. FY27 reporting shifts to *Agents and Infra / Devices and Consumer*; use recast periods, not unadjusted FY2026 Intelligent Cloud margins. Capital-return proxy: ΔNOPAT/ΔIC using consecutive fiscal years and year-end invested capital (equity + debt − cash − short-term investments). This differs from period ROIC (NOPAT / average IC); neither measure isolates AI-specific returns.[1]

PRINCIPAL RISKS | OBSERVABLE PROXIES AND MODEL EXPOSURE

Risk	What to monitor	Primary driver at risk
Replacement	Cash *and leased* PP&E additions, D&A, lease liabilities, useful lives; FCF vs. investment	Reinvestment, economic UFCF, terminal incremental ROIC
Demand / price	Azure and paid-cloud growth after capacity expands; disclosed cloud gross-profit proxies; no AI-only unit price disclosed	Revenue growth and operating margin
Deployment	Delivered capacity commentary, power constraints and RPO conversion; distinguish contracted revenue from delivered sales	Revenue timing, costs and CapEx
Policy / cyber	Changes in cloud pricing, product costs, legal/compliance and cybersecurity disclosures	Margin, growth and risk/discount rate

EVIDENCE BOUNDARY | VERIFIED INPUTS VS. ANALYST ASSUMPTIONS

Driver	Microsoft-disclosed fact	Model choice (not reported)	Evidence / gap
Cloud demand	FY26 Azure and other cloud +41%; management cited capacity constraints	FY27–31 segment growth / ongoing monetization	FY26 10-K, Q4 call; AI-only demand and unit pricing undisclosed
Operating profit	FY26 Intelligent Cloud gross margin 58.0% vs. FY24 66.1%	Base FY31 consolidated EBIT margin 48.1%	FY26 10-K; mix, pricing and FY27 recast comparability
Investment / lives	FY26 cash CapEx $115.9bn; server/network lives 2–6 years	Base FY31 cash CapEx $200bn, plus $15bn lease-financed additions	FY26 10-K; future refresh cycles and lease timing uncertain
Terminal returns	No company-disclosed incremental AI ROIC or asset-vintage utilization	15% incremental ROIC; 2.5% perpetual growth; 69.7% EV in terminal value	Valuation model: formula reconciled; replacement economics unproven

VALUATION TREATMENT | RECONCILED FLOWS AND OPEN RISKS

Model treatment: The balance sheet, cash, PP&E and lease movements reconcile with the three DCF scenarios; the equity bridge deducts the initial finance-lease liability once. Economic UFCF deducts both cash PP&E and lease-financed additions; lease principal stays in financing cash flow.

Economic limitations: Durability of paid demand, cloud margins, lease additions and equipment replacement. The terminal g/ROIC formula is arithmetically consistent, but a 15% incremental return is not independently demonstrated by Microsoft or by historical consolidated ROIC.

Sources / trace: Microsoft FY2026 Form 10-K (segments, cash flows, PP&E and leases); FY2026 Q4 earnings call; company and industry research; documented modeling assumptions; three-statement and DCF reconciliation records. [1]Microsoft FY27 Q1 earnings date (Oct. 7); FY27 segment realignment (Sept. 2 Form 8-K); Oct. 28 Q1 release. Monitoring disclosures occur after the dated DCF reference and are *not* retroactively included.

Independent research disclaimer. This report presents the author's independent, educational analysis using public disclosures and stated assumptions. It is not individualized investment advice, an offer, or a recommendation to trade. Estimates are uncertain and may differ materially from actual results.